

Vendor Repair Agreement

VRA-2025-004

Document ID: VRA-2025-004

Effective Date (Conditional): Pending executive approval; drafted June 2025

Term (Conditional): Two-year pilot, commencing on activation

Agreement Type: Performance-Based Pilot Service Agreement

Status: DRAFT — NOT YET ACTIVE. Executive approval pending since September 2025.

Parties: Cascadia Renewable Operations LLC ("Operator") and Heartland Reliability Partners, LLC ("Heartland" or "Contractor"), a Missouri limited liability company.

Governing Standard: Cascadia Mechanical Standard MS-2025-03.

Distribution: Office of the VP, Asset Management; Procurement; CAISO Operations; ERCOT Operations; Internal Audit; Heartland Account Manager.

Preamble

This Agreement, in draft form, would establish a two-year performance-based pilot under which Contractor would provide preventive and corrective services in CAISO and ERCOT, with a portion of compensation contingent on measurable outage-reduction outcomes at the sites under Contractor's preventive cadence.

Approval Status (Important). The Agreement has been awaiting executive sign-off since September 2, 2025. The deferral of approval — eight months as of the date of this revision — has itself been raised as a quality-system signal in **CAR-2025-009** ("Programmatic Bias: Outcome-Based Vendor Instruments Routinely Deferred While Emergency Activations Proceed Without Friction"). Two intervening drafts have been reviewed without final disposition. The current draft is the third revision.

The pilot was originally proposed in response to the Spring Vibration Cascade and the FY2025 emergency-vendor invoice trajectory documented in OIR-2025-001 and CAR-2025-006.

Section 1 — Scope of Services

1.1 Pilot Scope. Upon activation, Contractor would provide:

(a) Scheduled preventive maintenance on a defined pilot fleet (six wind sites in CAISO and ERCOT to be designated in Attachment A);

- (b) Condition-based monitoring with quarterly oil-spectrometer sampling and vibration trending consistent with Cooling System Maintenance Procedure CSM-7 and Standard MS-2025-03;
- (c) Non-emergency corrective work and refurbishment;
- (d) Quarterly reliability reporting to Operator's VP, Asset Management.

1.2 **Out of Scope.** OEM-warranty work; emergency activations under EPA-2024-11; NW-PowerPool footprint (reserved to VRA-2025-001).

1.3 **Pilot Sites (Indicative).** CAISO-WIND-026 (the highest single-asset lost-MWh site, anchored by WIN-10130 and WIN-10054); ERCOT-SOLAR-034 (anchored by INV-10360); and four further sites to be designated.

Section 2 — Rate Schedule

2.1 **Base Hourly Labor Rate.** \$215.00 per technician-hour, fully burdened. Two-hour minimum per dispatch.

2.2 **Premium Multipliers.**

- (a) Weekend / holiday: 1.40× base rate;
- (b) Overnight: 1.20× base rate.

2.3 **Parts Mark-Up.** 10% on documented invoice cost.

2.4 **Performance Rebate (the pilot mechanism).** At each annual anniversary, Contractor shall remit to Operator a **rebate equal to 10% of base-rate labor billings** for the prior twelve-month period, conditioned on the outage-reduction outcomes defined in Section 5. If the outcome target is not met, no rebate is owed. If the outcome target is exceeded by a defined margin, a graduated rebate up to 14% is owed (see §5.2).

2.5 **Travel.** Travel within 400 miles of either the Houston, TX or Sacramento, CA hub is included; beyond, \$0.60/mile and half-rate travel time.

Section 3 — Service Level Agreements

3.1 **Scheduled Work.** Mobilization within the agreed work-order window (typically 7–14 days).

3.2 **Non-Emergency Corrective Response.** Within 48 business hours.

3.3 **Storm / Weather Response.** Within 18 hours where storm conditions warrant. This is not a substitute for EPA-2024-11 emergency response.

Section 4 — Approval & Authorization Workflow

4.1 Pilot Activation. Activation requires executive sign-off by the VP, Asset Management and concurrence by the CFO (because the rebate mechanism affects ongoing operating-expense reporting).

4.2 Status as of Date of this Revision. Activation has not occurred. The pilot was reviewed by the executive committee on September 2, 2025, returned for revision on October 14, 2025, and resubmitted in December 2025. A second resubmission is pending committee review.

4.3 Standard Work Authorization Post-Activation. Once active, work orders would be issued by Operator's Regional Maintenance Planner (CAISO and ERCOT), with cost-threshold approvals matching VRA-2025-001.

4.4 Refurbishment-First Discipline. Same as VRA-2025-001 §1.2. Contractor explicitly endorses Standard MS-2025-03 §4.2 refurbishment-first principle.

Section 5 — Performance Metrics

5.1 Outage-Reduction Target. Pilot rebate is conditioned on a **year-over-year reduction of 18% in forced-outage count and 15% in forced-outage MWh-loss** at the designated pilot sites, measured against the FY2024 baseline.

5.2 Graduated Rebate.

- (a) Target met: 10% rebate of base-rate labor billings;
- (b) Target exceeded by 5 percentage points (i.e., 23%+ outage reduction): 12% rebate;
- (c) Target exceeded by 10 percentage points (i.e., 28%+ outage reduction): 14% rebate.

5.3 Other Tracked Metrics.

- (a) Preventive maintenance schedule adherence (target 95%+);
- (b) Mean Time to Repair (MTTR);
- (c) CSM-7 oil-spectrometer cadence compliance (quarterly).

5.4 Independent Audit. Outage-reduction calculation is to be independently audited by Operator's Internal Audit function on each anniversary.

Section 6 — Limitations, Exclusions, Termination

6.1 Exclusions. OEM-warranty work; EPA-2024-11 emergency activations; NW-PowerPool footprint; capital projects.

6.2 Pilot Termination. Operator may terminate the pilot at any time on 60 days' notice. Contractor may terminate on 180 days' notice after the first anniversary.

6.3 Quality Signal — Deferred Approval. The Parties acknowledge that the duration of the executive approval deferral (eight months and counting as of the date of this revision) is itself a documented quality observation under **CAR-2025-009**. The corrective action notes the contrast between the deferral of an outcome-based vendor instrument and the eleven (11) consecutive EPA-2024-11 activations of VRA-2025-002 over the same period.

6.4 Document Hierarchy. Same as VRA-2025-001 §6.4.

Closing

Authorized Signatures

For Cascadia Renewable Operations LLC:

[PENDING — VP, Asset Management]

For Heartland Reliability Partners, LLC:

Senior Vice President, Field Operations — initialed June 18, 2025 (awaiting Operator countersignature).

Attachments:

- Attachment A: Pilot Site Designation (six sites — draft)
- Attachment B: Performance-Rebate Calculation Methodology
- Attachment C: Insurance certificates
- Attachment D: Reference to CSM-7 and Standard MS-2025-03

Cross-References:

- CAR-2025-009 (deferred-approval quality signal)
- CAR-2025-006 (Apex emergency activation pattern; precipitating context)
- OIR-2025-001 (Spring Vibration Cascade — precipitating context)
- VRA-2025-001 (CPS preferred-partner instrument — model for refurbishment-first language)
- VRA-2025-002 (Apex — contrast in performance-structure design)
- Standard MS-2025-03 (governing internal standard)